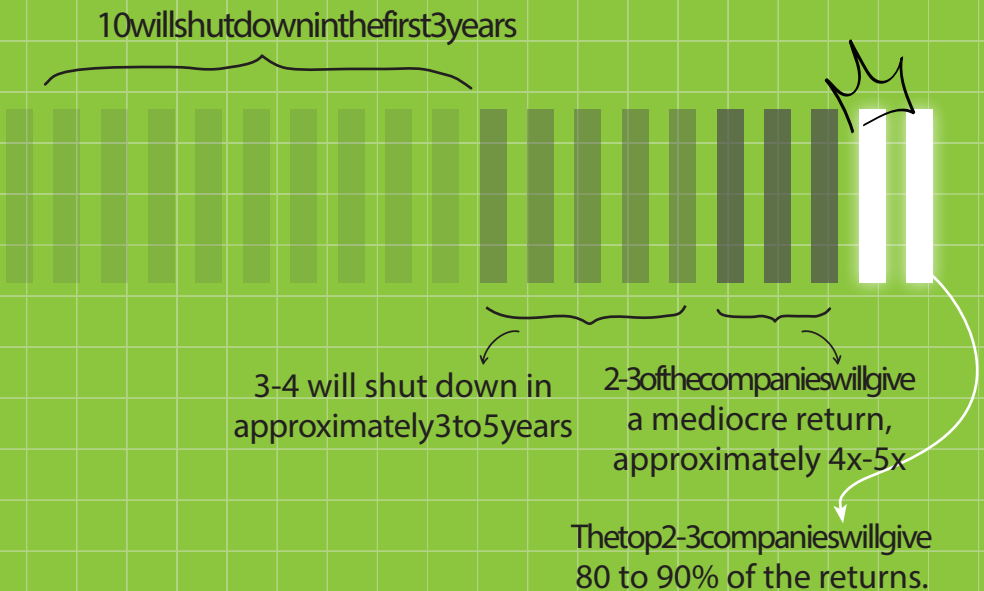


THE NUMBERS

In summary, early-stage investors are looking for confidence and comfort that the investment will grow their capital 10X - 50X (this benchmark may vary depending on the investor). Simply put, if they invested, for example, 10 lacs, they are expecting a return of approximately Rs 1-5crores in the coming 5 -7 years. If they are not confident of this, they will not invest. The reason for this is they are taking very high risk and know that they will only be right a few times.

For example, a certain investor has a Rs one crore portfolio. So they can put it up in 20 different companies, approximately 5 lakh per company.

Generally, out of these:



So if the top 2 companies or the winners are not significant, they will not be able to compensate for the losses that they have incurred in other companies. Simply speaking, investors would want their 5 lakh inv to appreciate to few crores, money.